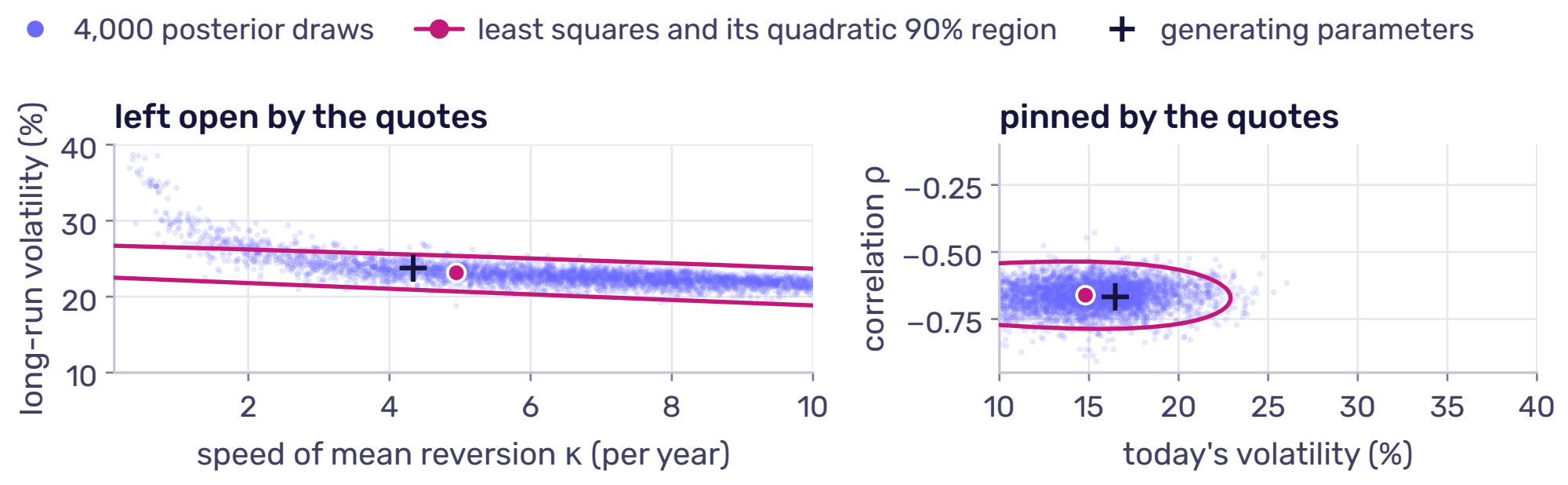

4,000 posterior draws
least squares and its quadratic 90% region
generating parameters
left open by the quotes
pinned by the quotes
long-run volatility (%)
40
30
20
10
2
4
6
8
10
speed of mean reversion κ (per year)
correlation ρ
−0.25
−0.50
−0.75
10
15
20
25
30
35
40
today's volatility (%)